AUDIT BRIEF · Illinois (IL)

Before auditing paid factory-warranty claims
Verified 2026-10-23 (statutes) · Built 2026-10-23 · IL-audit-brief-2026-10-23

Covers: Factory warranty and recall claims; all other incentive and reimbursement programs (same one-year rule); affiliate-issued warranty and service plans (same obligations). **2 items need legal review (section 5).**

1. Audit eligibility

Which claims and programs can be audited, how far back, and from what date.

Audit window. One year from the date the claim was paid or credit issued; the same year for incentive and reimbursement programs. 710/6(b)

Post-window fraud exception. After the year, a fraudulent claim can be charged back only if the manufacturer establishes fraud in an Illinois court. 'Fraud' includes reckless misrepresentation and intentional non-disclosure. 710/6(b)

Deadline to take the chargeback. Not stated whether a chargeback from a timely audit may be taken after the year ends. Conservative: finish both the audit and the chargeback within one year of payment. **[Legal review]** 710/6(b)

2. Planning restrictions

Frequency cap, notice, selection basis and permitted reasons for an audit.

Audit basis / general conduct standard. No audit-specific standard. The Act's general bar on arbitrary, bad-faith or unconscionable action that causes damage applies. 710/4(b)

3. Testing and findings

Chargeback grounds, documentation limits, clerical errors, sampling and extrapolation, proof, recovery scope.

Grounds to charge back a paid claim. 'False or unsubstantiated' claims, inside the year. BUT a separate sentence bars any debit or chargeback of a warranty RO item absent a finding of fraud or illegal actions. Not reconciled: legal review before any warranty RO chargeback. **[Legal review]** 710/6(b)

Warranty RO chargeback bar (fraud or illegal-actions finding). No debit reduction or chargeback of any item on a warranty repair order absent a finding of fraud or illegal actions by the dealer. Who makes the finding is not stated. **[Legal review]** 710/6(b)

Denial grounds (unpaid submitted claim). No list. Disapprove in writing within 30 days stating specific grounds, or the claim is deemed approved. A timely claim can't be invalid solely because unavailable parts added mileage. 710/6(b)

Proof / burden. Inside the year: no burden or standard beyond 'reasonable documentation'. Outside it: fraud established in court. 'Fraud' is defined broadly (reckless misrepresentation counts). **[Legal review]** 710/2(m)

Recovery scope (line item vs whole claim). Not addressed. The RO bar speaks of 'any item', which reads item by item; don't infer whole-claim recovery. 710/6(b)

Documentation the manufacturer may require. Only 'reasonable documentation', submitted in the manner and on the forms the manufacturer reasonably prescribes. 710/6(b)

Clerical error. No clause. The RO bar read literally blocks clerical-only chargebacks; the 'false or unsubstantiated' sentence read literally allows them. Unresolved. **[Legal review]** 710/6(b)

No reductions based on market norms or averages. No reduction in payments due to preestablished market norms or market averages: benchmark-driven adjustments are barred. 710/6(b)

No failure-rate or repair-frequency limits. No restrictions on customer repair frequency based on failure-rate indexes or national failure averages. 710/6(b)

Parts price reasonableness vs same-make dealers in the area. The only peer comparison allowed: a dealer's retail parts price may be tested for reasonableness against same-make dealers in its area, case by case. 710/6(b)

4. Chargeback process

Written reasons, dealer response and cure, internal appeal, stay during a dispute, timing of the chargeback.

Written reasons. Required for disapproving a submitted claim (specific grounds, within 30 days); nothing for chargebacks of paid claims. Cite the Act provision in any chargeback notice (see the 60-day clock below). 710/6(b)

Correct and resubmit. Disapproved unpaid claims: correct and resubmit within 30 days. No cure right after a chargeback. 710/6(b)

5. Exceptions and escalation

Unusual state rules, legal-review flags, penalties and where the dealer protests.

60-day protest clock runs only from a notice that names the provision. The dealer's 60-day window to protest to the Motor Vehicle Review Board or sue runs only from a written notice that names the Act provision; without it, four years. 710/12(b)

Reversing a chargeback after the dealer seeks relief does not avoid fee exposure. Withdrawing a disputed chargeback after the dealer files for relief can still carry the dealer's attorney's fees and costs. 710/13

No cost-recovery fees or surcharges. No cost-recovery fees or surcharges against a dealer for payments made under Section 6. 710/6(b)

Technician communication and hold time is compensable. TAC or engineering communication time, including hold time, and diagnostic time must be paid; don't charge back documented TAC or diagnostic time as excessive. 710/6(b)

Added mileage from unavailable parts is not a defect in the claim. A timely claim isn't invalid solely because backordered parts added use and mileage. 710/6(b)

Recall and stop-sale repairs and inventory costs. Recall and stop-sale repairs are inside the compensation rules; interest and storage are owed on inventory held under a recall or stop sale. 710/6(b)

Export / sale-for-resale chargebacks. Export/resale adverse action (including an incentive chargeback) only if the written policy preceded the sale and the dealer knew or should have known; registration and titling plus Illinois tax collection presume it didn't. 710/4(d)(10)

No required waiver of Act rights. A dealer can't be required to sign a release, waiver or estoppel relieving anyone of Act liability; chargeback acknowledgment forms that waive rights fall here. 710/4(e)(9)

Section 6 reaches affiliate-issued warranty and service plans. Section 6 applies to affiliate-issued warranty or service plans; a captive service-contract company's audits follow the same rules. 710/6(f)

LEGAL REVIEW REQUIRED — Warranty repair-order chargebacks

Section 6(b) lets the manufacturer charge back 'false or unsubstantiated' claims within one year, yet also says no debit or chargeback of any warranty repair-order item may be made 'absent a finding of fraud or illegal actions by the dealer', and a third sentence requires court-established fraud; the statute does not reconcile them or say who makes the finding.

Action: Obtain legal interpretation before imposing any debit or chargeback on a warranty repair order that does not rest on a documented finding of fraud or illegal actions by the dealer; for incentive and reimbursement-program chargebacks, note that the warranty-RO bar does not apply by its terms, but the fraud-court sentence may. 710/6(b)

LEGAL REVIEW REQUIRED — Does the one-year period cap the chargeback or only the audit?

The one-year period attaches to the audit for warranty claims and to 'the audit and charge back provisions' for incentive programs; nothing says whether a chargeback from a timely audit may be taken after the year ends.

Action: Until counsel advises otherwise, complete both the audit and the chargeback within one year of the date the claim was paid or credit issued; treat a chargeback issued after that date, other than a court-established fraud chargeback, as unsupported by the text. 710/6(b)

If done wrong. An improper audit or chargeback exposes the manufacturer to a dealer action for damages and injunctive relief, treble damages if willful or wanton, and a mandatory award of the dealer's reasonable attorney's fees, expert fees and costs if the dealer substantially prevails, including when the manufacturer simply stops the challenged conduct (815 ILCS 710/13), plus Board hearing costs assessed against the non-prevailing party (815 ILCS 710/29; 92 Ill. Adm. Code 1001.790); no license sanction reaches manufacturers.

Where the dealer protests. Agreed arbitration (Sec. 12(a)); otherwise a Motor Vehicle Review Board protest under Secs. 12(b) and 29 for a remedy other than damages, commenced by timely notice of protest or within 60 days of written notice of the franchiser's determination, or a circuit-court action for non-damages relief within the same 60 days (Sec. 12(e)); damages, treble damages and fees in circuit court or agreed arbitration under Sec. 13. The 60-day clock runs only if the franchiser's notice identifies the Act provision; otherwise Sec. 14's 4-year period applies. 815 ILCS 710/12(a), (b), (e); 710/29; 710/13; 710/14

Not expressly addressed in the reviewed statutes (verified 2026-10-23): audit frequency cap; advance audit notice; selection basis disclosure; extrapolation / sample projection; dealer response period before a chargeback; internal appeal; stay pending dispute; minimum wait after chargeback notice; new information after decision.

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